Unit 2: Perspectives in Management

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✓ *Classical Perspective: Scientific Management, Administrative Management and Bureaucracy.*

The Classical Management Theory is thought to have originated around the year 1900 and dominated management thinking into the 1920s, focusing on the efficiency of the work process. It has three schools of thinking:

Scientific management, which looks at 'the best way' to do a job;

Administrative management, which emphasizes the flow of information within the organization; and

Bureaucratic management, which focuses on rules and procedures, hierarchy and clear division of labour.

Scientific Management

Frederick Winslow (FW) Taylor (1856-1915) is known as the father of scientific management. His approach emphasized empirical research to increase organizational productivity by increasing the efficiency of the production process. **Scientific management theory states that** jobs should be designed so that each worker has a well-specified, well-controlled task, and specific procedures and methods for each job must be strictly followed.

Taylor's management theory rests on a fundamental belief that managers are not only superior intellectually to the average employee, but that they have a positive duty to supervise staff and organize their work activities.

Taylor developed four principles of scientific management:

1. A 'best' methodology should be developed scientifically for each task.

2. Managers should select the best person to perform the task and ensure that the best training is given.

3. Managers are responsible for ensuring that the best person for the job does the job using the best methodology.

4. Remove all responsibility for the work method from the worker and give it to management. The worker is responsible only for the actual job performance.

Advantages of Scientific Management

1 - Introduced a scientific approach to management.

2 - Improved factory efficiency and productivity.

3 - Allowed managers to reward workers for higher performance and productivity through the differential rate system.

4 - Built a sense of co-operation between management and workers.

Disadvantages of Scientific Management

1- Limited by its underlying assumption that workers were primarily motivated by economic and physical needs. It therefore overlooked the desire of workers for job satisfaction.

2- Excluded the tasks of management in its application.

3- Instilled an authoritarian leadership approach.

4- Focused only on the internal operations of the organization.

Bureaucratic management

Max Weber (1864-1920), known as the father of Modern Sociology, was the first person to use the term 'bureaucracy'. He considered the ideal organization to be a bureaucracy whose activities and objectives were rationally thought, whose divisions of labour were explicitly spelled out (clearly defined). He believed that technical competence should be emphasized and that performance evaluations should be made entirely on the basis of merit. **Weber defined the key elements of a bureaucracy as:**

1. A well defined hierarchy with a clear chain of command where higher positions have the authority to control the lower positions.

2. Division of labour and specialization of skills, where each employee will have the necessary expertise and authority to complete a particular task.

3. Complete and accurate rules and regulations, in writing, to govern all activities, decisions and situations.

4. Impersonal (i.e. formal) relationships between managers and employees, with clear statements of the rights and duties of personnel.

5. Technical competence is the basis for all decisions regarding recruitment, selection and promotion.

Bureaucratic Management – Contributions..(Advantages)

1-Ensured that the organization would be operated and managed by qualified/high calibre personnel only.

2- Allowed many organizations to efficiently perform routine organizational tasks through job specialization.

3-Placed emphasis on job position, specialized employees and job continuity thus providing the organization with long-term perspectives and quality employees.

Bureaucratic Management – Limitations..(Disadvantages)

1- Overwhelming concentration on authority discourages innovation and creativity;

2- Imposed a formal and structured chain of command which is not compatible with organizations that require flexibility and rapid decision-making. This is truer today where organizations are constantly faced with a external environment of increased competition.

3- The emphasis on impersonality (formality).

4- Rules and procedures may become so important.

Administrative Management

Henri Fayol (1841-1925) was a French industrialist and one of the most influential early management thinkers. He believed that sound management practice falls into certain patterns that can be identified and analyzed. Based on his experience in management, **he developed fourteen general principles of management:**

1. Division of Work and specialization to produce more work for less effort.

2. Authority to give orders and the power to exact obedience.

3. Discipline and respect between a firm and its employees.

4. Unity of command where an employee receives orders from only one superior.

5. Unity of direction where there is only one central authority and one plan of action.

6. The general interest is superior to individual interests.

7. Remuneration is fair and provides satisfaction both to the employee and employer.

8. There is centralization, where there is always one central authority.

9. There is a scalar chain, where a chain of authority exists from the highest level to the lowest ranks.

10. Order, where the right materials and people are in the right place for each activity.

11. Equity, kindliness and justice are seen throughout the organization.

12. Stability and tenure of personnel to maintain a stable work force.

13. Initiative is encouraged to motivate employees.

14. Teamwork is encouraged.

Before Fayol, it was generally believed that "managers are born, not made". Fayol insisted, however, that management was a skill like any other.

Advantages of Administrative Management

1- Viewed management as a profession which can be trained and developed.

2- Offered universal managerial guidelines.

3- Promoted communication between managers and employees.

4- Highlighted the needs of employees through the unity of command, unity of direction, equity, etc.

5- Encouraged employees to act on their own initiatives.

Disadvantages of Administrative Management

1- Lacked consideration for organization's environmental, technological and personnel factors.

2- Fayol's recommendations are too experience-based and therefore not driven by formal research. Hence its concepts have not been tested.

✓ Behavioral Perspective: Hawthorne studies, Human Relation Movement, and emergence of organizational behavior.

Hawthorne studies

The Hawthorne Works was a large factory complex of the Western Electric Company in Cicero, US. Named after the original name of the town, Hawthorne, it opened in 1905 and operated until 1983. At its peak of operations, Hawthorne employed 45,000 workers, producing large quantities of telephone equipment.

What is Hawthorne Studies?

The Hawthorne studies were a series of investigations conducted by Elton Mayo and Fritz Roethlisberger were a part of a refocus on managerial strategy with emphasis on the socio-psychological aspects of human behaviour in organizations. These studies were conducted in the 1920s at the Hawthorne plant of the Western Electric Company (US).

The hypothesis of research was that if workers are given a choice in choosing their co-workers, everyone works together as a group, everyone is treated special, and everyone is supervised by a sympathetic supervisor, the productivity of workers will increase. One of the key findings of the research was that monetary incentives combined with good working conditions are not as important as meeting workers' need and desire to work as a group and feel included in decision making.

These studies were conducted for over ten years. It was observed that the productivity is more responsive to social factors like team-work and managerial support.

These studies included other assignments like separating a group from others, increasing managerial support in one group and reducing in the other, measuring the impact of breaks on output, and allowing the groups to make their own decisions and set their own targets.

Conclusions of Hawthorne Studies / Experiments

The conclusions derived from the Hawthorne Studies were as follows :-

1. The social and psychological factors are responsible for workers' productivity and job satisfaction. Only good physical working conditions are not enough to increase productivity.
2. The informal relations among workers influence the workers' behaviour and performance more than the formal relations in the organization.

3. Employees will perform better if they are allowed to participate in decision-making.
4. Employees will also work more efficiently, when they believe that the management is interested in their welfare.
5. When employees are treated with respect and dignity, their performance will improve.
6. Financial incentives alone cannot increase the performance. Social and Psychological needs must also be satisfied in order to increase productivity.
7. Good communication between the superiors and subordinates can improve the relations and the productivity of the subordinates.

Strengths of the Hawthorne studies. (Advantages)

- It Allows clear identification of the concern of the workers.
-It solves productivity issues in a sustainable and long term basis, if it properly and accurately modeled.
- It brings forth consistency in the assessment of the working situation when management needs to carry out long term envisioning.

Criticism of Hawthorne Studies / Experiments, (Limitations)/(Disadvantages)

The Hawthorne Experiments are mainly criticised on the following grounds :-
1. The Hawthorne experiments were conducted under controlled situations.
2. It gives too much importance to human aspects. Human aspects alone cannot improve production. Production also depends on technological and other factors.
3. The Hawthorne experiments placed too much emphasis on group decision-making. In real situation, individual decision-making cannot be totally neglected especially when quick decisions are required and there is no time to consult others.
4. It gives a lot of importance to freedom of the workers. In reality too much of freedom to the workers can lower down their performance or productivity.

Human Relation Movement:

The human relations theory of organization came in to existence in 1930s as a reaction to the classical approach to organizational analysis. This is because the classical theorists neglected the human factors in the organization. The classical theorists took a mechanical view of organization and underemphasized the socio-psychological aspects of individual's behaviour in organizations. It is this critical failure of the classical theory that gave birth to the human relation approach/ movement (Mayo,1930).

The human relations movement grew from the Hawthorne studies. A group of Harvard researchers, headed by Elton Mayo, conducted a series of experiments on worker productivity in 1924 at the Hawthorne plant of Western Electric Company. These experiments have come to be known as the Hawthorne studies.

The Harvard researches suggested that the way people were treated had an important impact on performance; individual and social processes played a major role in shaping worker attitudes and behavior. Therefore, management must recognize the importance worker's needs and social satisfaction.

Two of the best-known contributors who helped advance the human relations movement were Abraham Maslow and Douglas McGregor.

Abraham Maslow's (1908-1970) theory of "Hierarchical Needs"

Maslow's hierarchy specifies the following levels:

1. **Physiological needs:**

These are the basic requirements for human physical survival. They include such essentials as food, water, shelter, oxygen, and sleep. When these needs are unmet, human beings will focus on satisfying them and will ignore higher needs.

2. **Safety needs:**

Once the individual's basic physical needs are met, his or her needs for safety emerge. Safety needs include protection from violence and theft, emotional stability and well-being, health security, and financial security.

3. ***Love and belonging needs:***

When the individual's physiological and safety needs are met, needs for love and belongingness emerge. Maslow emphasized that these needs involve both giving and receiving love.

4. **Esteem needs:**

Esteem needs include both self-esteem and the esteem of others. Self-esteem is the feeling that one is worthwhile, competent, and independent. The esteem of others involves the feeling that other people respect and appreciate the person.

5. **Self-actualization needs:**

These are the needs associated with realizing one's full potential. As these needs emerge, the person focuses on doing what he or she is meant to do in life—developing his or her talents and abilities to their fullest extent.

Douglas McGregor's (1906-1970)Theory X and Theory Y

Management professor Douglas McGregor later created Theory X and Theory Y, two opposing perceptions of employee motivation. Here are the basics of the two theories, according to McGregor's 1960 book *The Human Side of Enterprise*:

McGregor's Theory X and Theory Y

Theory 'X' (Negative outlook on workers)	Theory 'Y' (Positive outlook on workers)
The average employee inherently dislike work and consider as burden.	Employees find that work is as natural as play or rest.
They must be coerced or threatened with punishment to get the things done.	They welcome new techniques and ready to accept changes.
They resist change and like to work with traditional methods.	They learn not only to accept, but to seek responsibility.
They are less ambitious and lack creativity.	They are self motivated and self controlled.
They are self centered and indifferent to organizational objectives.	They are intellectual, imaginative and creative.
They work for economic and financial gains.	They want to make maximum use of their potential.

Emergence of organizational behaviour:

Organizational behaviour is very important field of studying. Because, it studies the actions of the people at work, and the people are the most important assets to any organization. This field of study was started since long time and there were too many studies and theories from the precursors of OB. Such as:

Robert Owen, 1700: Concerned with work and labor conditions to be improved.

Hugo Munsterberg 1900; Introduce industrial psychology to study people behavior at work, and to tests for employee selection, learning concepts for training and human behavior to motivate employees.

Mary Parker Follet 1900s; Organization viewed from a perspective of industrial behavior and group behavior.

Chester Barnard 1930; He sees the organization as open systems. Organization is social systems that need cooperation. Managers' job is to communicate & stimulate employees to get their maximum effort.

The main study of emergence of Organizational Behaviour is:

The Hawthorne studies (1927 – 1932)

- Productivity increase under different working conditions.
- Group standards and attitudes influenced individual's productivity.
- The effect of incentive plans was below expectations.

The main theory of emergence of OB is: Human Relations movement

The famous X-Y theory

Theory X Assumptions:

1. People do not like work and try to avoid it. So managers have to control, direct, coerce, and threaten employees to get them to work toward organizational goals.

2. People prefer to be directed, to avoid responsibility, to want security; they have little ambition.

Theory Y Assumptions:

1. People do not naturally dislike work; work is a natural part of their lives.

2. People are internally motivated and they are committed to goals to the degree that they receive personal rewards when they reach their objectives.

3. People will seek and accept responsibility under favorable conditions. But under most organizational conditions their potential are underutilized.

4. People have the capacity to be innovative in solving organizational problems.

✓ Quantitative Perspective: Management Science and Operations Management.

During World War II, mathematicians, physicists, and other scientists joined together to solve military problems. The quantitative school of management is a result of the research conducted during World War II. The quantitative approach to management involves the use of quantitative techniques, such as statistics, information models, and computer simulations, to improve decision making. This school consists of several branches, described in the following sections.

Management Science;

"Management science is an approach that aims at increasing decision effectiveness through the use of sophisticated mathematical models and statistical methods."

According to R.M. Hodgetts, "The Quantitative School, which is also called Management Science School, consists of those theorists who see management as a body of quantitative tools and methodologies designed to aid today's manager in making the complex decisions related to operations and productions."

The management science school emerged to treat the problems associated with global warfare. Today, this view encourages managers to use mathematics, statistics, and other quantitative techniques **to make managements decisions.**

- Managers can use computer models to figure out the best way to do something-saving both money and time. Managers use several science applications.
- Mathematical forecasting helps make projections that are useful in the planning process.
- Inventory modeling helps control inventories by mathematically establishing how and when to order a product.
- Queuing theory helps allocate service personnel or workstations to minimize service cost.

Operations Management;

Operations management is a narrow branch of the quantitative approach to management. It **focuses on the operation and control of the production process** (such as the use of resources) that transform resources (i.e. materials, labor, and capital) into finished goods and services.

"Operations management is the function, or field of expertise, that is primarily responsible for managing the production and delivery of an organization's products and services." In operations management, people use quantitative techniques of forecasting, inventory analysis, statistical quality control methods, networking models etc. in areas such as inventory management, production planning, designing the production process, purchasing raw materials, storing and selling the final products.

Operation management today plays close attention to the demands of quality, customer service, and competition. The process begins with attention to the needs of customers: what do they want? Where do they want it? When do they want it? Based on the answers to these questions, managers line up resources and take any action necessary to meet customer expectations.

✓ Integrating Perspective: Systems and Contingency Perspectives. Emerging Management Issues and Challenges

It is obvious that classical, behavioral and quantitative approaches have all made valuable contributions to the theory and practice of management. Contemporary (Modern) management seeks to integrate these approaches in ways that suit the particular organization at a particular time. The system approach and Contingency approach are most relevance to the manager of the 21st century who faces complex and rapidly changing environments.

The systems approach/perspective describes the organization as a system that transforms inputs (material, human, financial and information resources) into outputs (e.g. products/services, profits/losses, employee behavior and information) by use of managerial and technological processes. The overall system can be broken into sub-systems, such as production and finance.

The contingency approach/perspective essentially argues that the traditional perspectives on management are too narrow in defining how to manage organizations.

It suggests that the best managerial approach to each particular situation. Managers should seek the approach that best suits the specific situation they are facing.

System Perspective:

- Developed by Ludwig von Bertalanffy, Kenneth Boulding, Norbert Weinus, Herbert Simon, Shester Bernard. (1901-1972).

- System is an interrelated set of element functioning as a whole

- It studies management by putting all interrelated parts of an organization to accomplish a goal and recognition of environmental influences the system.

- The system approach identifies four basic elements: input, transformation process, outputs, and feedback.

- The various parts of a system have functional as well as structural relationships between each other. The parts that make up a system show degrees of integration – "compatible"

- Every part of a system is affected by every other part. Usually there are several points of intervention and types of intervention than can help client systems to change.

- A system can be defined as an aggregate of interrelated and interconnected elements and activities that form an identifiable, organized, and functioning whole.

- All systems have boundaries. The boundary of a social system distinguishes between those who belong and those who do not.

The basic features of systems approach are as under:

1. A system consists of interacting elements. It is set of inter related and interdependent parts arranged in a manner that produces a unified whole.

2. The various sub-systems (marketing, production etc.) should be studied in their inter- relationships rather, than in isolation from each other.

3. An organizational system has a boundary that determines which parts are internal and which are external.

4. A system does not exist in a vacuum. It receives information, material and energy from other systems as inputs. These inputs undergo a transformation process within the system and leave the system as output to other systems.

5. An organization is a dynamic system as it is responsive to its environment. It is vulnerable to change in its environment.

Contingency Perspectives:

- The classical, behavioral, and quantitative approaches are considered universal perspectives because they try to identify the "One best way" to mange organization.

- Developed by Tom Burns, G.M. Stalker, P. Lawrence, J. Lorsch. " Particularistic approach to management"

- "There is no one best way to organize", the concepts, tools, and techniques which are highly effective in one situation, are not at all effective in another situation.

- Thus managerial behavior in a given situation depends on, or is contingent on, a wide variety of elements.

- Each organization and situation is unique, thus no single principle or theory can not be applicable in all situations.

- Thus it focuses to recognition of the situational nature of management and response to particular characteristics of situation.

Features of Contingency Approach:

1. The contingency approach does not accept the universality of management theory. It stresses that there is no one best way of doing things. Management is situation, and managers should explain objectives, design organizations and prepare strategies, policies and plans according to prevailing circumstances.

2. Managerial policies and practices to be effective, must adjust to changes in environment.

3. It should improve diagnostic skills so as to anticipate and ready for environmental changes.

4. Managers should have sufficient human relations skill to accommodate and establish change.

5. It should apply the contingency model in designing the organization, developing its information and communication system, following proper leadership styles and preparing suitable objectives, policies, strategies, programs and practices.

Emerging Management Issues and Challenges

Managerial function are keys to organizational success. Therefore several challenges confront today and these challenges mainly arise from the significant change in the outside world. Some of the major emerging issues and challenges that all management faces are explained as below:

1.Globalization:

The globalization of business is the major emerging challenges for management. Transactions of business organizations take place across national boundaries. Globalization made the world a global village. In this process, a manager's job is changing with the following Emerging Issues and Challenges for Management:

- Increased foreign assignments
- Working with people from different cultures
- There is external competition for markets, and also for resources.

2. Ethics and Social responsibility:

Ethics is study of how our decisions affect other people. It is the study of people's right and duties. The moral rules the people to make decisions and the nature of relationship among people. Ethics is to follow social code of conduct, social norms, values and attitude. The decisions made by managers have a broad reach both inside and outside the organization. So, managers must follow ethical norms and consider social responsibilities.

3. **Workforce diversity:**

The people in organizations are becoming more heterogeneous demographically (disability, gender, age, national origin, non-Christian, race, and domestic partners). A diverse workforce includes women, physically disabled, senior citizens, etc. Managing this diversity has become a global concern. People having different religions, different nationality works together under one roof. Different people have different nature and they show different behavior because they come from different background. How to manage such diversified workforce is a great challenge for managers.

4. Technological advancement:

How to utilize advanced and sophisticated technology has become another challenge for management. Technology has developed beyond the expectation of anybody in the world over last 100 years. Tremendous advancement has been made in production, distribution and information technology. Managers must manage all this technology with the development of computer, the face of information technology has absolutely changed.

5. **Development of the environment:**

Environmental issues are major issues in management these days. These issues like deforestation, global warming, depletion of the ozone layer, toxic wastage, and pollution of land, air, and water. May not be these issues are a matter of to an enterprise. But, these matters draw the attention of different social, business and political institutions.

6. **Quality and productivity:**

It is practically the quality and productivity that are supplementary or auxiliary to each other. Quality supports to maximize productivity and which ultimately minimizes per unit cost of output. And, minimizing cost depends on the skills of the manager. So, quality and productivity is a challenge for managers.

7. **Innovation and change:**

Management must pay attention on innovation and change. Otherwise, they would go out of business. Rapid innovations are taking place in technology, product and service. Product life cycle is getting shorter and shorter. Product needs continuous improvement if the life span is to be made long. New ideas, new techniques, new methods are being innovated; there must be new inventions of ideas, new invention of product. Old and outdated product cannot satisfy customers.

There is change in external environment, political and legal, socio- cultural, economic and technological environment change rapidly. How to adjust with such change, how to keep pace with such change, how to keep pace with such change that has become challenge for management.

8. **Multicultural effects:**

An innovation of modern communication and transportation system has tied the multi-cultured people together. They work together to meet their common and professional goals or objectives. In the present context, the involvement of cross-cultural professions in the organization is continuously increasing. Therefore, the involvement of multicultural people having different traditions, values, social attitudes, religious beliefs, and living approaches creates a new challenge to the manager.